

years of general business will not diminish to a point that threatens the safety of an investment in the business; and (3) a company able to sell its newer products and those which it may develop in the future at least as profitably as those with which it is involved today.

This is a one-dimensional picture of a prudent investment—one which, if not spoiled by the view from other dimensions, represents an investment with which the investor is unlikely to become disillusioned. But before going on to examine these other dimensions, there is one additional point that should be fully understood. If the objective is conserving one's funds, if the goal is safety, why have we been talking about growth and the development of new and additional product lines? Why isn't it enough to maintain a business at its existing size and level of profits without running all the risks that occur when new endeavors are started? When we come to a discussion of the influence of inflation on investments, other reasons for the importance of growth will present themselves. But fundamentally it should never be forgotten that, in a world where change is occurring at a faster and faster pace, nothing long remains the same. It is impossible to stand still. A company will either grow or shrink. A strong offense is the best defense. Only by growing better can a company be sure of not growing worse. Companies that have failed to go uphill have invariably gone downhill—and, if that has been true in the past, it will be even more true in the future. This is because, in addition to an ever-increasing pace of technological innovation, changing social customs and buying habits and new demands of government are altering at an ever-increasing pace the rate at which even the stodgiest industries are changing.